



NEED TO KNOW

- › **Money supply** The total amount of money circulating in a country, from currency to less liquid forms.
- › **Central bank** An institution that provides financial services to the government and commercial banks, implements monetary policies, sets interest rates, and controls money supply.
- › **Currency in circulation** Money that is physically used to conduct transactions between customers and businesses.

THE CASE FOR INDEPENDENT CENTRAL BANKS

Many central banks were made independent of the government in the early 2000s, although they are still required to be both transparent and accountable. The 2008 crash led some to question whether independent banks are desirable.

Pros

- › **Monetary policy can be** more impartial as banks have no interest in maintaining electoral popularity.
- › **As they are unaffected** by the electoral cycle they can plan and implement long-term policies.
- › **Independent banks** have tended to maintain lower rates of inflation.

Cons

- › **Unelected banks** cannot be voted out, arguably making them less accountable.
- › **Central bank** controls may not be enough to avert financial crises without government aid.
- › **Governments** may blame banks for recessions, so eroding trust.

"Monetary policy is not a panacea"

Ben Bernanke

